Nine days later, I wrote more. “I bought at 21, near the daily low of 20 13/16 (as of 9:45 anyway). Oils are weak today, but this [stock] has made a new high and drillers I expect to do well next year. More rigs are coming online now, and drilling activity is picking up. This has peaked above the top of the rounding turn in August, and I expect the stock to continue moving up. I see support at 20, stop at 19.”

I sold in May at 29.75 and made 41% on the trade. Sadly, I don't have any notes about the sale. However, the stock reached the ultimate high of 32.38 a week before I sold (so I was close to a perfect exit). The stock moved sideways, with large price swings for about a year, then headed lower and bottomed near 11.

This was another well-timed trade. I bought at the confirmed upward breakout and held on until the ultimate high and sold near there.

- Lesson: Wait for price to confirm an upward breakout before buying a rounded top.

Sample Trade

Sharon is a high-energy player. She is the one you see careening out of control when skiing down the expert slope. She is the one you see night after night relaxing in a bar after work, surrounded by men. In other words, she is fun to be with, the life of the party.

Her investment style mirrors her lifestyle. When she spotted the rounding top pictured in **Figure 56.4**, she waited for just the right moment to buy. At first she thought it might be a head-and-shoulders top, but the two shoulders and head (B) were at about the same price level and the volume pattern was all wrong.

In mid-June, when price began heading up and pierced the down-sloping trendline, “I bought at 47, gripped tightly, and held on.”

As price climbed, she noticed that the oscillations from minor high to minor low seemed to be narrowing. To her, these oscillations indicated that a rising wedge was forming, but the volume pattern was abnormal. With a rising wedge, the volume pattern tends to recede over time.